

The AI Paperwork Reader

Put AI to work on a 200-page franchise disclosure so the questions you'd have missed surface in an afternoon

You just got handed an **FDD** (the Franchise Disclosure Document, the legal packet a franchise must give you before you sign). It is hundreds of pages of dense legal and financial language. You plan to have an attorney review it, and you should. But attorney time is expensive, and you do not want to pay someone to explain to you what the document plainly says. You want to walk in already knowing where the questions are.

That is exactly what AI is good at. It does not replace your attorney or your CPA. It does the first pass: reading the whole thing, putting it in plain language, and surfacing the things worth a human's attention so your expensive hours are spent on judgment, not translation.

This is a method plus a set of prompts you copy and paste. You do not need to be technical. You need a current AI assistant that can read a long document, and the FDD itself.

Before you start (read this once)

- **AI is the first reader, not the final word.** It will summarize, flag, and organize. It can also misread or miss things. Every figure and every commitment that matters gets confirmed against the actual document and reviewed by your attorney. Treat AI output as a map, not a verdict.
 - **Watch for confident errors.** AI sometimes states things cleanly that are wrong. When it gives you a number or a rule that will drive a decision, ask it to quote the exact passage, then go read that passage yourself.
 - **It reads what disclosure says, never what you will earn.** No tool, AI included, can tell you what this business will make for you. Anyone or anything that says otherwise is guessing. Use AI to understand what the document discloses, and bring earnings questions to real owners and your own advisors.
 - **Keep your file private.** An FDD is not secret, but treat it like the serious document it is. Use a tool and account you trust.
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The reading order

Do not start at page one and grind forward. Work in passes, each with a job.

1. **Orientation pass.** Get the whole thing summarized in plain language so you understand the shape before the detail.
2. **Money pass.** Understand what it costs to get in and to keep operating, and what the document discloses about performance.
3. **Control pass.** Understand who decides what, what is protected, and what happens if things go wrong.
4. **Question pass.** Turn everything above into a sharp list for two audiences: existing owners (your validation calls) and your attorney.

The prompt pack below maps to those four passes. Run them in order. Paste the FDD (or the relevant section) into the tool when it asks.

The prompt pack (copy and paste)

Pass 1 — Orientation

"I'm a first-time franchise buyer with no franchising background. I'm going to give you a Franchise Disclosure Document. In plain language, give me a one-page overview: what this business is, what an owner actually does, what it costs to get in, how the company makes its money from me, and the three things in this document a first-time buyer is most likely to overlook. Avoid jargon; when you must use a franchise term, define it in the same sentence."

"Now give me a plain-language table of contents: list each section, and in one sentence each, tell me what it actually covers and why it would or wouldn't matter to me as a buyer."

Pass 2 — Money

"Walk me through every cost in this document, one-time and ongoing, including the ones that are easy to miss (build-out, supplies, required spend, technology fees, marketing contributions, the monthly percentage of sales paid to the parent company). Put them in a simple table: cost, how much, one-time or recurring, and which section it came from. Quote the exact figure and section for each."

"Does this document disclose any financial performance information for existing owners? If it does, summarize exactly what it says and, just as important, what it does NOT say: how many owners are in the figure, how many were left out, whether it shows averages or medians, and any footnotes or conditions. Do not estimate or fill gaps. If it discloses nothing about performance, say so plainly and tell me what that absence might mean."

Pass 3 — Control

"In plain language, map who controls what: list the major decisions in running this business and tell me, for each, whether the owner decides, the parent company decides, or it's shared. Pull this from the actual document and cite where."

"Summarize, in plain terms: what exactly is protected for me (territory or otherwise), what the parent company is obligated to do for me after I open, and what they are explicitly NOT obligated to do. Quote the protective and the obligation language exactly, because the wording is what's enforceable."

"Summarize what this document and the agreement say about renewal, transfer or selling the business, and termination, including anything that happens if I want out or if they want me out. Flag anything a first-time buyer would find surprising or one-sided, and quote the passage."

Pass 4 — Questions

"Based on everything in this document, write me 15 specific questions to ask people who already own this business, the kind of questions that surface the real day-to-day and the things the company wouldn't volunteer. Make them neutral and fact-finding, not adversarial. Group them by topic."

"Now write me a short, prioritized list of items to flag for my attorney and my CPA: the clauses, costs, and commitments in this document that carry the most risk or are most worth professional judgment. For each, quote the passage and say in one sentence

why it's on the list."

After the passes

You now have, in an afternoon: a plain-language overview, a complete cost picture sourced to the document, an honest read on what performance is and isn't disclosed, a map of who controls what, and two sharp question lists. That is the homework most buyers never do, done before your first expensive hour with an attorney.

Take the owner questions into your validation calls. Take the flagged list to your attorney and CPA. And hold the whole picture next to the life you actually want, because a document can tell you what a business requires; only you can tell whether that fits.

If you want a second set of eyes on what surfaced, walking through an FDD with a candidate is part of what an advisor does with you, at no cost to you.

Educational only. This guide and its prompts make no earnings or performance claims and name no specific brands. AI assists your reading; it does not replace review by your own attorney and CPA. Any financial figures about a specific franchise must come from that brand's own current Franchise Disclosure Document.